# Corporate Social Responsibility and Business Ethics

McGraw-Hill/Irwin

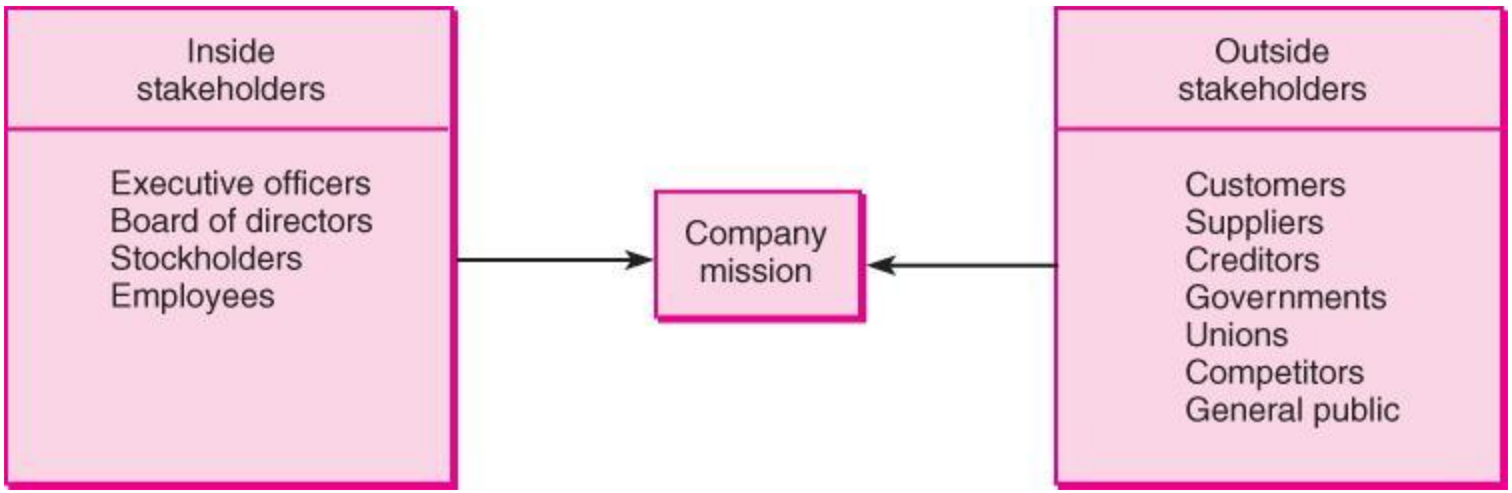
# Learning Objectives

1. Explain the continuum of social responsibility
2. Describe a social audit
3. Compare advantages of collaborative social initiatives
4. Explain the 5 principles of collaborate social initiatives
5. Compare the merits of different approaches to business ethics
6. Explain relevance of business ethics to strategic management practice.

# Dynamics of Social Responsibility

- Duty to serve society *plus* duty to serve stockholders
- Flexibility is key
- Firms differ along:
  - Competitive Position
  - Industry
  - Country
  - Environmental Pressures

# Ex. 3.2 Inputs to the Development of Company Mission

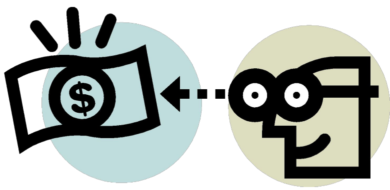


# Types of Social Responsibility

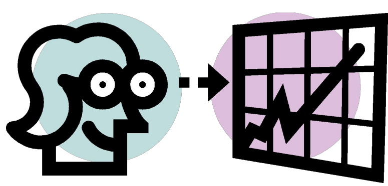
- **Economic** – the duty of managers, as agents of the company owners, to maximize stockholder wealth
- **Legal** – the firm's obligations to comply with the laws that regulate business activities
- **Ethical** – the company's notion of right and proper business behavior.
- **Discretionary** – voluntarily assumed by a business organization.

# CSR & Profitability

- **Corporate social responsibility (CSR),** is the idea that business has a duty to serve society in general as well as the financial interests of stockholders.



- The dynamic between CSR and success (profit) is complex. They are not mutually exclusive, and they are not prerequisites of each other.

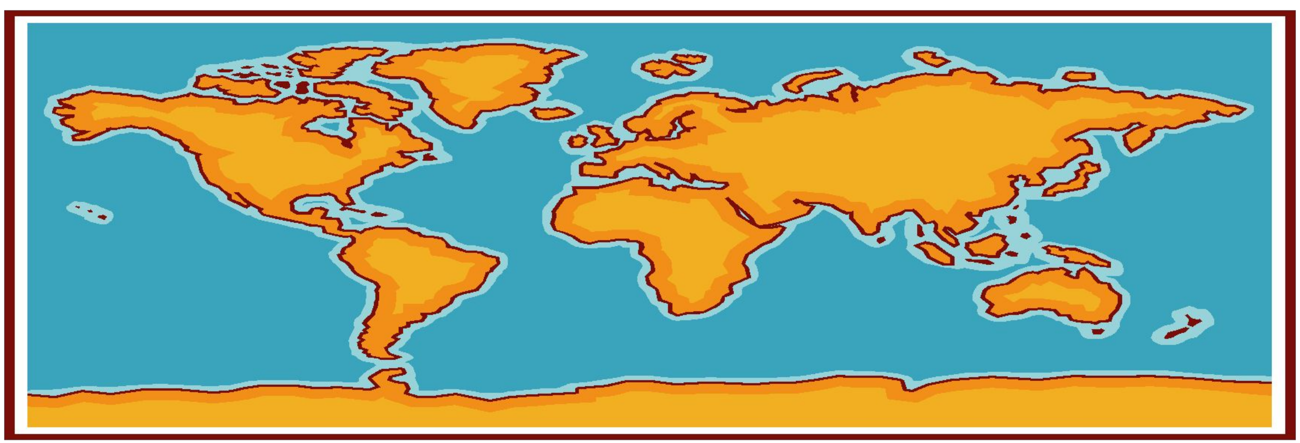


# Factors Complicating a Cost-Benefit Analysis of CSR:

1. Some CSR activities incur no dollar costs at all. In fact, the benefits from humanity can be huge.
2. Socially responsible behavior does not come at a *excessive* cost.
3. Socially responsible practices may create savings, and, as a result, increase profits.
4. Proponents argues that CSR costs are more than offset in the long run by an improved company image and increased community goodwill.

# CSR Today

- Priority of American businesses
- Rebirth of Environmentalism
- Increasing Buying Power among Consumers
- Globalization of Business



# CSR's Effect on Mission Statement

- The mission statement represents what company believes
- Managers must identify all stakeholder groups and consider their relative rights and abilities to affect the firm's success

# Social Audit

- A **social audit** is an attempt to measure a company's actual social performance against its social objectives.
- The social audit may be used for more than simply monitoring and evaluating firm social performance.

# The Future of CSR

- CSR is firmly and conclusively part of the corporate material
- Corporations will face growing demands for social responsibility contributions far beyond simple cash or in-kind donations
- Even when groups agree on what constitutes human welfare, the means they choose to achieve it may differ

# Management Ethics

**The Nature of Ethics in Business:**

- Belief that managers will behave in an ethical manner is central to CSR
- **Ethics** – the moral principles that reflect society's beliefs about the actions of an individual or a group that are right and wrong
- Ethical standards reflect the end product of a process of defining and clarifying the nature and content of human interaction

# Extant Literature and debate

TABLE I
Corporate social responsibility, business ethics, and values: An historical perspective

| Authors | Corporate social responsibility | Ethical/Moral considerations | Values/Other |
|---|---|---|---|
| Barnard (1938) | Analyze economic, legal, moral, social and physical aspects of environment | Morals are active result of accumulated influences on persons evident in actions | Responsibility: power of private code of morals to control individual conduct |
| Simon (1945) | Organizations must be responsible to community values | Ethical propositions assert "oughts", rather than facts | Firm survival involves adapting objectives to values of customers |
| Drucker (1954) | Management must consider impact of every business policy upon society | Morality must be principle of action exhibited through tangible behavior | First responsibility to society is to make a profit |
| Selznick (1957) | Enduring enterprise will contribute to maintenance of community stability | Definition of mission includes wider moral objectives | Leadership requires defense of critical values |
| Andrews (1971-Revision) | Firm should have explicit strategy for support of community institutions | Defining firm only in financial terms leads to subordination of ethical concerns | Ethical behavior is product of values |
| Freeman (1984) | Business must satisfy multiple stakeholders | Concern for ethics necessary but not sufficient to decide "what we stand for" | Enterprise strategy: what do we stand for? |

# CSR interest among researchers

Source: https://link.springer.com/content/pdf/10.1007/s10551-004-1822-0.pdf

Key words of PhD research topics in Europe

| Research topic | Percentage |
|---|---|
| Corporate Social Responsibility | 5.5 |
| Accounting and Finance, incl. social/environmental reporting accountability | 3.6 |
| Business Ethics | 3.6 |
| Sustainable development | 3.6 |
| Environmental/Ecology Management | 3.0 |
| Globalisation | 2.4 |
| Leadership | 1.8 |
| Corporate Citizenship | 1.8 |
| Stakeholder Management | 1.2 |
| Corporate communication | 0.6 |
| Corruption/Crime/Racism | 0.6 |
| Management | 0.6 |
| Marketing | 0.6 |
| Business and Society | 0.6 |
| Strategy | 0.6 |

# Class Discussion – 15 minutes

Why the impact of CSR and organizational profitability is strongly correlated in the 21$^{st}$ century?

Discuss the topic in your group (4-5 members). Find logical points to discuss. Present your arguments after the discussion. Presentation time – 3 minues for each group.